BLACK COLLATERAL

AN INTELLIGENT STORE OF VALUE TO BET AGAINST BITCOIN

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ABSTRACT

Synthetic commodity money is a new classification for scarce assets (like GOLD, SILVER, AND DIAMOND). Bitcoin is an example of Synthetic commodity money that could reform money and be a better alternative to traditional assets. But the problem with most crypto assets today is they are highly correlated with one another and follow the price pattern of Bitcoin. High correlations in the decentralized market prohibit diversification due to several price fluctuations and affect all other cryptocurrencies in general. One of the main factors for such price fluctuation is the lack of adequate control when big investors decide to cash out in bulk, which completely crashes the token price. This Whitepaper introduces a new innovative high store of value cryptocurrency called BLACK COLLATERAL (BLACK),where users are restricted from selling the tokens in large quantities using a novel timelock mechanism. As a result, the investors are forced to hold the currencies for an extended period that fundamentally makes the economic model different from other cryptocurrencies. Additionally, Black is backed by a pool of crypto assets locked in a crypto reserve called Burn Vault to provide minimum guarantee price support, where the user can cash out without impacting the market price.

Disclaimer: Before the complete implementation of the project, the logic may change without notice. This white paper documents the dynamics while seeking to provide details on key areas of importance.

1. INTRODUCTION

Gold is one of the best store of value for its unique properties, interwoven into cultures for thousands of years. People continued to hold gold for various reasons throughout the centuries. Modern economies have placed value on gold, thus perpetuating its worth .The concept of money is changing drastically, with cryptocurrency is revolutionizing the world being a vital forefront runner. This project aims to innovate a new digital asset called **BLACK** with all the characteristics of gold as a better store of value by solving several fundamental crypto currency investment problems.

A BETTER ALTERNATIVE TO GOLD

BLACK aims to be the world's first NON-DEPRECIATING Smart Money with all the characteristics of GOLD by introducing three innovative mechanics that help increase the purchasing power over time significantly

TIME-LOCK MECHANISM

A novel design that prevents investors from selling their assets in large quantities. By enabling the time-lock, asset holders, especially whales, can't manipulate the price significantly, resulting in a long-regulated purchase power increase.

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BURN VAULT

A decentralized crypto reserve design that provides minimum collateral price guarantee irrespective of the market condition during the panic period. Burn Vault accumulates the transaction fees in a separate contract address where users may choose to cash out at any point in time, similar to the Federal Gold Reserve, without impacting the market price. The assets stored in the Vault always grow and proportional to the daily transaction volume. Moreover, the tokens swapped via Burn Vault will be removed permanently from circulation.

AUTOMATED LIQUIDITY POOL (ALP)

Prevents exchange liquidity fluctuation to a greater extent by locking 0.5% of every transaction back in the liquidity pool. The price stability of the crypto assets is vital from the investor's standpoint, where ALM plays a key role.

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In summary, BLACK is designed to be precious in every way because it is scarce, non-dilutive, free from market distortions, resistant to economic shocks, and most importantly, backed by another crypto asset, increasing integrity and trust.

BLACK PROTOCOL OPERATIONS

BLACK achieves consistent purchase power increase after every transaction through the following FIVE dynamics

1. Regulates purchase power by enforcing a time-lock on the holder's wallet, due to which one can't sell more than 1% of the asset in 24 hours.

2. Regulates supply after every transaction by burning 4% of the transaction amount forever from circulation

3. Regulates exponential rewards by distributing 4% of the transaction amount equally among holders.

4. Regulates selling pressure fluctuations by accumulating1% of the transaction amount in Burn Vault

5. Regulates exchange liquidity fluctuations by locking1% of the transaction amount in LP.

WHAT PROBLEMS DOES BLACK SOLVES?

DIGITAL ASSET INTRA-CORRELATION

Since the inception of Bitcoin in 2009, dozens of other cryptocurrencies (and synthetic commodities) have spun off, representing a financial value on an electronic, data-driven ledger of some sort. Most synthetic commodities' price and weight depend highly on the price of Bitcoin, leading to somewhat of a homogeneous system of synthetic commodities. Ideally, a digital asset would exist with almost no correlation to traditional asset groups and existing digital assets. That's where Black Collateral comes in. The entire ethos of this project is a paradigm shift from price-based trading strategies to time-based trading strategies.

INFLATION HEDGE

BLACK will be an excellent hedge against inflation because its price tends to rise over time as the supply decreases. When other crypto assets lose their purchasing power to inflation, Black tends to be priced in those currency units and tends to rise along with everything else. Moreover, Black will be a good store of value, so people may be encouraged to buy this asset when they believe that other currencies are losing their value.

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TIME BOUND BUY-SELL RATIO

BLACK controls the time-demand equilibrium every 24 hours using the Time-Lock mechanism tied to the number of tokens each investor holds in their wallets. Time-Lock ensures that the market cap of the collateral persists and the growth is consistent by adjusting the selling threshold dynamically.

DEFLATION PROTECTION

People chose to hoard cash, and the safest place to hold cash is GOLD at any point in time. BLACK fundamentally has the same GOLD characteristics as a store of value, making it a worthy investment to de-risk from the value collapse.

DIVERSIFICATION OF CRYPTO PORTFOLIOS

Since BLACK is resistant to crypto corrections, it offers an entirely different model to minimize portfolio classification risks, making it one of the best low-risk strategies for long-term asset holders who want to bet against bitcoin.

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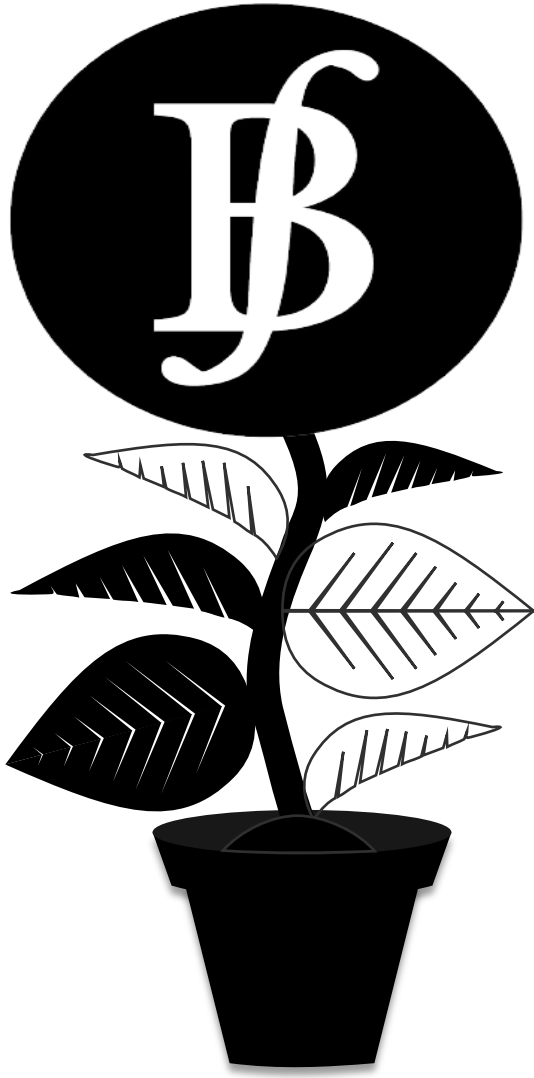
EXPONENTIAL REWARDS

With the novel deflationary mechanics, BLACK holders earn passive trustless rewards instantly without staking needs. The benefits are directly proportional to the holding time, very similar to traditional bonds and certificates.



TECHNICAL ARCHITECTURE

The protocol will be implemented as Smart Contracts ,including an Open Zeppelin layer to assist with corrections as required. At its core, the contract enforces several rules to maintain price balance when a transaction or sale occurs, a below.

A: If the transaction originates from the Owner's Wallet, the receiver gets 100% of the transaction amount without a fee; else,10% of the transaction amount will be deducted as tax.

B: The contract will enforce the following when a user initiates a transaction
(i) If the transfer amount is 0.75 % of the sender's balance, the address will be locked for 24 hours.
(ii)If the transfer amount is between 0.5% to 0.75% of the sender's balance, the address will be locked for 12 hours.
(iii) If the transfer amount is below 0.5 % of the sender's balance, there won't be any lock.
(iv) **A sender can make only two transactions within 24 hours**

C: The contract also enforces the following when a user receives a transaction.
(i) If a recipient receives above 0.75 % of the wallet balance, the contract will lock the wallet for 24 hours.
(ii) If a recipient receives between 0.5% to 0.75 % of the wallet balance, the contract will lock the wallet for 12 hours.
(iii) If a recipient receives less than 0.5% of the wallet balance, there won't be any lock.

D: The total supply also plays a critical role during the transaction process
(i)If the total supply is > **500 MILLION,** the protocol removes 4% of the transaction amount forever from the circulation.
(ii)If the total supply is between **100 BILLION** and **500 BILLION,** the protocol removes 2% of the transaction amount fore ver from the circulation

USE CASE – SAFE DEFI HEDGE COLLATERAL

The protocol dynamics are structured in such a way to be a secured store of value in crypto, making it one of the robust candidates for long-term investors .The collateral backing via Burn Vault permanently bonds the value giving a minimum price guarantee to investors, optimizing the risk factor to a bare minimum. The Time-Lock concept further makes it Whale-Proof, avoiding price manipulation and increase the floor price consistently. The deflationary mechanics will drive the price up consistently as the supply becomes scarce and investors earn exponential interest by simply holding the collateral in their wallets . These qualities make black collateral one of the most intelligent investments designed to regulate linear purchase power growth.

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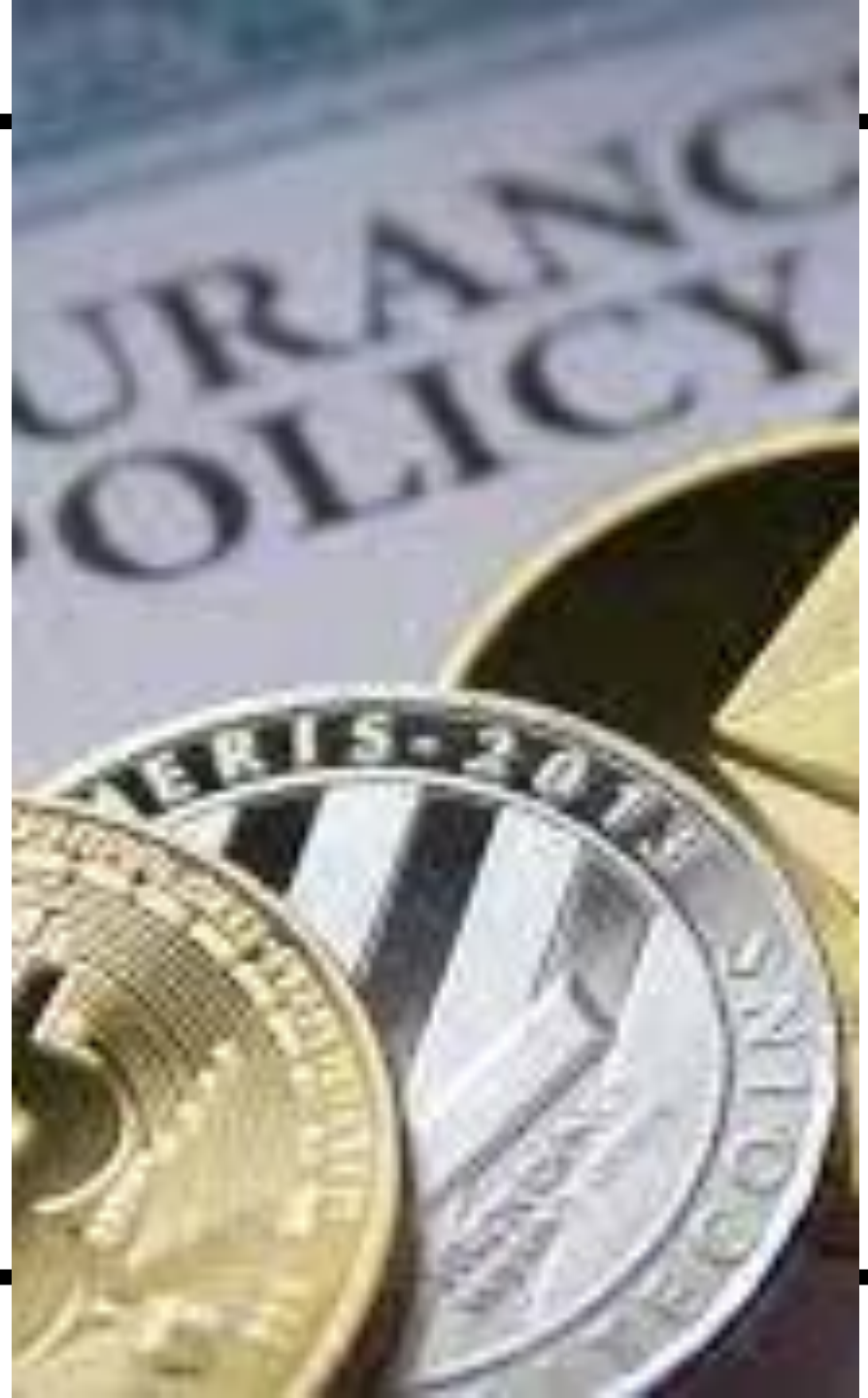

ROADMAP

Q4 2020

Proof of Concept
Technical Whitepaper
Finalize Platform

Q1 2021

Finalize Solution Architecture
Complete development

Q2 2021

Setup Social Platform
Deploy TestNet
Certik Audit
Digital Marketing
Public Sale
Deploy Smart Contracts
Token Generation

Q3 2021

CoinMarketCap & CoinGecko Listings
DEX Listing
Governance Launch
Dashboard Launch

Q4 2021

Additional Marketing
Staking Platform Launch
CrowdFunding Launch
CentralizedEX Listings

FINAL THOUGHTS

BLACK brings a remarkable degree of innovation in the concept of crypto currency mechanics. The protocol fundamentally changes the model from a price-based trading strategy to a time-based strategy that guarantees more reliability and independence from the performance of other crypto currencies, including bitcoin. Black's price resistance model opens up many opportunities in DeFi for essential applications that genuinely benefit everyone fairly.

The novel dynamics present an optimistic view for a future with supply-based cryptocurrencies, guaranteeing a more diverse, fair, and independent market. Although the price can be volatile in the short term, its value will increase and stabilizes over the long term. Through the years, similar to GOLD, Black will serve as the best hedge against inflation as an investment well worth considering

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[2] Peter Schiff (2012). "The Real Crash" - America's Coming Bankruptcy.

[3] Niall Ferguson (2013). "The Great Degeneration" - How Institutions and Economics Die.